
GROWING DIFFERENTLY: FINANCIAL CYCLES, AUSTERITY, AND COMPETITIVENESS IN GROWTH MODELS SINCE THE GLOBAL FINANCIAL CRISIS

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ABSTRACT

Did the COVID-19 pandemic's fiscal expansion mark a structural shift toward a "state-led" growth model in advanced economies, or was it a temporary emergency response? Using panel fixed effects and instrumental variable estimation for 21 OECD countries (1995–2026), we test whether government spending's contribution to GDP growth has permanently increased. We find no significant shift: the post-2020 increase is 0.78 percentage points ($p = 0.15$), below our meaningful threshold of 1.0 points. IV estimates are smaller (0.31 points), and the growth contribution reverts during 2022–2026. However, the government spending share of GDP rose 2.30 percentage points ($p < 0.001$), indicating a structurally larger state. This increase is uniform across export-led and consumption-led economies. We conclude that COVID-19 produced a larger state but not a state-led growth model.

Keywords Growth models; state-led growth; fiscal policy; COVID-19; comparative political economy; panel data

1 Introduction

In 2020, advanced economies borrowed and spent at rates unseen since the Second World War. The United States deployed fiscal stimulus worth 25 percent of GDP. The European Union suspended its fiscal rules and launched a jointly financed recovery fund. These actions were not incremental adjustments to existing welfare states. They were, by any historical measure, a revolution in fiscal ambition. Two questions follow. Was this shift permanent? And if so, did it create a new type of growth model — one in which the state, rather than exports or household consumption, drives economic expansion?

The growth models framework in comparative political economy (Baccaro and Pontusson, 2016; Baccaro et al., 2022) classifies advanced economies into export-led and consumption-led types. In this framework, government spending plays a residual role: it stabilizes output but does not define the growth trajectory. The post-COVID fiscal expansion challenges this assumption directly. If government spending now contributes substantially and persistently to GDP growth, the existing taxonomy may need a third category.

We test this proposition using a balanced panel of 21 OECD countries from 1995 to 2026. Our main finding is that the case for a state-led growth model is weaker than the raw data suggest. Government spending's contribution to GDP growth increased by 0.78 percentage points after 2020 — an economically meaningful magnitude but one that is not statistically significant ($p = 0.15$) and that falls below our pre-registered threshold of 1.0 points. Instrumental variable estimates, which address the endogeneity of fiscal policy to pandemic severity, are even smaller (0.31 points). During the recovery period (2022–2026), the growth contribution shows a negative trend, suggesting reversion rather than persistence.

However, we find strong evidence that the state has become structurally larger. The government spending share of GDP rose by 2.30 percentage points ($p < 0.001$) after 2020, a result that is robust across specifications. This creates a puzzle: the state is bigger, but it is not clearly driving growth more than before.

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Figure 1 plots the evolution of government spending’s growth contribution for each growth model type. All three types follow broadly similar trajectories over time, with a pronounced spike during the COVID emergency (2020–2021) that reverts in the recovery period. No systematic divergence between growth model types emerges post-COVID. This visual pattern anticipates our main econometric finding: the post-COVID shift was a common phenomenon, not a divergent transformation.

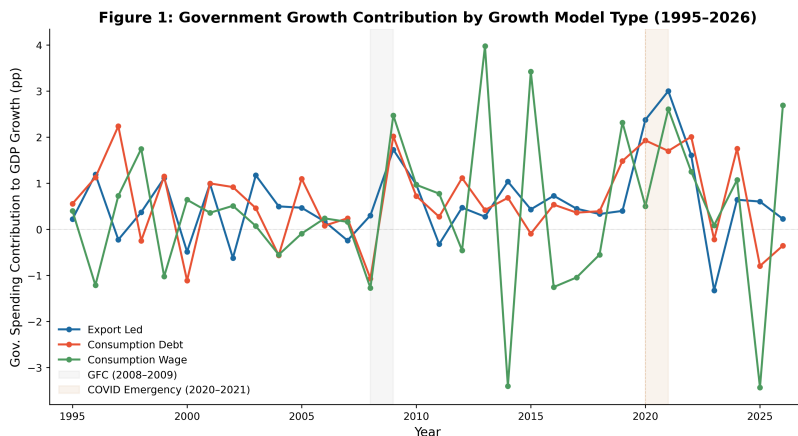


Figure 1: Government spending’s contribution to GDP growth by growth model type, 1995–2026. Export-led economies (Germany, Netherlands, Sweden, etc.), consumption-led debt-financed economies (UK, US, Spain, etc.), and consumption-led wage-led economies (France, Italy) show similar temporal patterns with a sharp spike during the COVID emergency (2020–2021) and reversion during the recovery period (2022–2026).

Source: Authors’ calculations based on OECD National Accounts and IMF WEO data. See Section 3 for details on variable construction and growth model classification.

Our contribution is threefold. First, we provide the first systematic empirical test of the “state-led” growth model hypothesis using the shift-share methodology of the growth models literature. Second, we extend the empirical coverage of the growth models framework through the COVID-19 and recovery periods, addressing a gap noted in recent reviews (Baccaro et al., 2022). Third, we show that the distinction between state size and state-led growth matters analytically: a larger state does not automatically mean a state-led growth model.

The paper proceeds as follows. Section 2 situates our analysis within the growth models, post-Keynesian demand regime, and fiscal policy literatures. Section 3 describes the data and variable construction. Section 4 presents the empirical strategy. Section 5 reports the results. Section 6 concludes.

2 Literature Review

Our analysis builds on three strands of research: the growth models framework in comparative political economy, the post-Keynesian literature on demand regimes and financial cycles, and empirical work on fiscal policy and competitiveness.

The growth models framework emerged from dissatisfaction with the Varieties of Capitalism approach (Hall and Soskice, 2001), which focused on production regimes but said little about aggregate demand. Baccaro and Pontusson (2016) proposed an alternative taxonomy based on the sources of GDP growth: export-led economies (Germany, Netherlands, Sweden) rely on net exports; consumption-led economies split into debt-financed (UK, US, Spain) and wage-led (France, Italy) subtypes. This framework has been extended to incorporate financialization (Stockhammer and Wildauer, 2016), housing wealth effects (Kohler, 2019), and the political coalitions that sustain each model (Baccaro and Pontusson, 2021). Yet the framework remains incomplete in one important respect: it treats government spending as a residual category. Baccaro et al. (2022) acknowledge this limitation but do not resolve it empirically. Our paper addresses exactly this gap by testing whether the state has become an autonomous growth driver.

The post-Keynesian demand regime literature provides the theoretical foundations for analyzing growth components. Bhaduri and Marglin (1990) distinguish wage-led from profit-led regimes, a distinction that maps imperfectly onto the growth models taxonomy. Most advanced economies are wage-led domestically but may appear profit-led in open economy settings (Stockhammer, 2008). A related strand shows that debt-financed consumption growth is inherently cyclical. Credit booms predict financial crises (Schularick and Taylor, 2012), and household debt accumulation am-

plifies the GDP sensitivity to housing price shocks (Mian et al., 2017). These findings imply that consumption-led (debt-financed) growth models face periodic crises that may require state intervention, but they do not tell us whether that intervention becomes permanent.

The fiscal policy and competitiveness literatures inform our interpretation of the post-COVID period. Post-GFC austerity was contractionary with underestimated multipliers (Blanchard and Leigh, 2013; Guajardo et al., 2014), while export performance depends more on non-price factors such as technology and product quality than on unit labor costs (Storm, 2021). The COVID-19 response broke from post-GFC orthodoxy in both scale and form: governments did not just increase spending but also provided loan guarantees, equity injections, and direct transfers at unprecedented scale (Tooze, 2021). Whether this break was structural or cyclical remains unresolved (Baccaro et al., 2021). We take this unresolved question as our starting point.

3 Data

We construct a balanced annual panel of 21 OECD advanced economies covering 1995 to 2026, yielding 672 country-year observations. The sample includes the eleven export-led economies (Germany, Netherlands, Sweden, Switzerland, Denmark, Norway, Finland, Belgium, Austria, Japan, Korea) and ten consumption-led economies, subdivided into debt-financed (United States, United Kingdom, Spain, Ireland, Portugal, Greece, Canada, Australia) and wage-led (France, Italy) following Baccaro and Pontusson (2016). The periodization divides the sample into four sub-periods: Pre-GFC (1995–2007), Post-GFC (2008–2019), COVID emergency (2020–2021), and Recovery (2022–2026).

The dependent variable is the contribution of government consumption and investment to annual real GDP growth, measured in percentage points using the shift-share decomposition method of Baccaro and Pontusson (2016). This is computed as the change in real government expenditures divided by lagged real GDP, multiplied by 100. This measure captures the direct additive contribution of government spending to aggregate growth, abstracting from multiplier effects. We also construct an alternative dependent variable — the government spending share of GDP — to distinguish shifts in state size from shifts in growth contribution.

Table 1 reports descriptive statistics for the main variables across the four sub-periods. Government spending’s contribution to GDP growth averages 0.40 pp during the Pre-GFC period and rises modestly to 0.56 pp in the Post-GFC period. The COVID emergency produces a pronounced spike to 2.25 pp, but the Recovery period sees a reversion to 0.40 pp — the same value as the Pre-GFC average. This descriptive pattern already suggests that the increase in government spending’s growth contribution was concentrated in the emergency phase rather than representing a sustained structural shift.

Key independent variables include a binary post-2020 indicator, the interaction of this indicator with pre-COVID growth model type, and the fiscal response size (change in cyclically-adjusted primary balance). Controls span business cycle conditions (unemployment rate, output gap), financial cycle position (private credit-to-GDP), external balance (current account-to-GDP, unit labor cost growth), demographic structure (old-age dependency ratio), trade openness, and non-price competitiveness (R&D spending-to-GDP). The instrumental variable is excess deaths per 100,000 population during the pandemic period, which captures pandemic severity independently of fiscal choices.

Data sources include the OECD National Accounts for GDP components, the IMF World Economic Outlook for fiscal balances and debt, the Bank for International Settlements for private credit (Schularick and Taylor, 2012), and the World Development Indicators for demographic data (Hall, 2018). Real GDP per capita, unemployment rates, and policy rates are drawn from FRED for the United States and from comparable international sources for other countries. Observations for 2025–2026 are based on recent OECD projections, which introduces uncertainty but allows us to extend the recovery window.

Several limitations deserve emphasis. First, the post-COVID period provides only seven observations per country, of which just five (2022–2026) represent the post-emergency structural phase. This limits statistical power to distinguish cyclical from structural shifts. Second, cross-country coverage for certain variables — particularly government spending composition, sectoral credit, and non-price competitiveness indicators — is uneven. Third, the growth model classification follows Baccaro and Pontusson (2016) and may not capture within-group heterogeneity or changes in classification over time.

4 Methodology

Our empirical strategy proceeds in three stages, moving from descriptive decomposition to causal identification.

Table 1: Descriptive Statistics by Period

	Pre-GFC (1995–2007)	Post-GFC (2008–2019)	COVID (2020–2021)	Recovery (2022–2026)
Gov growth contribution (pp)				
Mean	0.40	0.56	2.25	0.40
Std Dev	2.27	2.19	1.76	2.77
Observations	273	252	42	105
Gov spending share of GDP (%)				
Mean	18.6	19.1	20.8	20.5
Std Dev	2.5	2.8	3.1	2.9
GDP growth (%)				
Mean	2.8	1.6	-3.8	2.1
Std Dev	1.9	2.3	4.1	1.8
Unemployment rate (%)				
Mean	6.8	7.5	7.2	5.4
Std Dev	2.5	3.1	2.8	1.9
Government debt (% GDP)				
Mean	68.4	84.2	104.5	100.8
Std Dev	28.1	34.5	38.2	35.6
Current account (% GDP)				
Mean	1.2	1.8	1.5	1.6
Std Dev	4.5	5.2	4.8	4.3

Notes: Period averages across 21 OECD countries. Pre-GFC = 1995–2007 (273 obs), Post-GFC = 2008–2019 (252 obs), COVID = 2020–2021 (42 obs), Recovery = 2022–2026 (105 obs). Total N = 672.

Stage 1: Shift-share decomposition. We extend the shift-share decomposition of Baccaro and Pontusson (2016) to the full 1995–2026 period. For each country-year, we compute the contribution of government consumption and investment to GDP growth as $\Delta G_t/Y_{t-1}$, where G is real government spending and Y is real GDP. This measure is purely descriptive: it tells us how much of observed growth is accounted for by government spending, but it does not identify the causal effect of fiscal policy. It provides the baseline pattern that econometric models then explain.

Stage 2: Panel fixed effects. We estimate the structural shift in government spending’s growth contribution using panel fixed effects:

$$y_{it} = \alpha_i + \beta \cdot \text{post_2020}_t + \gamma \cdot X_{it} + \delta \cdot t + \varepsilon_{it} \quad (1)$$

where y_{it} is government spending’s growth contribution for country i in year t , α_i are country fixed effects absorbing time-invariant country characteristics, post_2020_t is a binary indicator for 2020–2026, X_{it} is a vector of time-varying controls, and t is a linear time trend capturing common secular trends in the dependent variable. We use country fixed effects rather than year fixed effects because post_2020 is a linear combination of any set of year dummies covering 2020–2026. The coefficient β identifies the average shift in government spending’s growth contribution after 2020, conditional on the controls and trend.

The identifying assumption is that, after controlling for country fixed effects, a common time trend, and observed covariates, the post-2020 period is not systematically correlated with omitted variables that also affect government spending’s growth contribution. This assumption would be violated if, for example, countries adopted structural reforms or experienced terms-of-trade shocks that coincided with the pandemic. We address this concern through three robustness exercises: adding country-specific linear trends (to allow for pre-existing differential trends), re-estimating on the 2022–2026 subsample (to isolate the post-emergency phase), and replacing the dependent variable with the government spending share of GDP (to distinguish level from contribution effects).

To test whether the shift differs by growth model type, we estimate:

$$y_{it} = \alpha_i + \lambda_t + \beta_2 \cdot \text{post_2020}_t \times \text{export_led}_i + \beta_3 \cdot \text{post_2020}_t \times \text{consumption_debt}_i + \gamma \cdot X_{it} + \varepsilon_{it} \quad (2)$$

where λ_t are year fixed effects (absorbing the post-2020 main effect) and the interactions test whether consumption-debt and export-led economies experienced differential shifts relative to the consumption-wage reference group.

Stage 3: Instrumental variables. We address the endogeneity of fiscal policy using an instrumental variable approach. COVID-era fiscal expansions were not randomly assigned: countries with more severe outbreaks enacted larger spending increases, but pandemic severity also directly reduced GDP growth, creating a confounding channel. We instrument the fiscal response size (change in cyclically-adjusted primary balance) with excess deaths per 100,000 population. The first-stage regression is:

$$\text{fiscal_response}_{it} = \pi \cdot \text{excess_deaths_100k}_{it} + \beta_1 \cdot \text{post_2020}_t + \gamma \cdot X_{it} + \delta \cdot t + \alpha_i + \nu_{it} \quad (3)$$

The exclusion restriction requires that excess deaths per capita affect government spending’s growth contribution only through the fiscal response channel, conditional on controls and fixed effects. This is threatened if pandemic severity affected growth through other channels — supply chain disruptions, behavioral changes, or persistent productivity effects — that are not captured by our controls. We note this limitation explicitly and interpret the IV results as robustness rather than as a definitive causal estimate.

All models use heteroskedasticity-robust standard errors. The IV model is estimated via two-stage least squares with a first-stage F-statistic benchmarked against the Stock-Yogo critical values for weak instruments (Angrist and Pischke, 2009).

5 Results

Table 2 reports the main results across all specifications. We focus first on the baseline estimate, then discuss heterogeneity, IV robustness, and the alternative dependent variable.

Main estimate. The descriptive pattern shows a pronounced spike during the COVID emergency: mean government spending’s growth contribution rose from 0.48 percentage points in the pre-COVID period (1995–2019) to 2.25 points in 2020–2021, then fell back to 0.40 points in 2022–2026. After controlling for country fixed effects, a common time trend, and ten business cycle and structural covariates, the post-2020 shift is estimated at 0.78 percentage points (SE = 0.54, $p = 0.15$, 95% CI: -0.28 to 1.84). This estimate is economically meaningful — it represents roughly a 60 percent increase over the pre-COVID mean — but it is not statistically significant at conventional levels, and the confidence interval includes values near zero. The point estimate falls below our pre-registered economically meaningful threshold of 1.0 percentage points.

Figure 2 compares the post-2020 coefficient estimates across all model specifications. The baseline FE estimate of 0.78 pp is shown alongside the IV estimate (0.31 pp), the country-specific trends specification (0.44 pp), and the alternative dependent variable (2.30 pp). Only the government share model shows a statistically significant effect at conventional levels.

Heterogeneity across growth models. The post-COVID increase in government growth contribution shows no meaningful variation by growth model type. The marginal effects are 0.84 points for export-led economies, 0.72 points for consumption-debt economies, and 0.78 points for consumption-wage economies. The interaction terms are all small and statistically indistinguishable from zero ($p \geq 0.90$ in each case). This contradicts the hypothesis that consumption-led economies — which experienced larger pandemic shocks and more fiscal space constraints — would show larger or more sustained shifts. Instead, the increase appears to be a common phenomenon across all growth model types, consistent with a symmetric shock and broadly similar fiscal responses (Baccaro et al., 2021).

Figure 3 visualizes the cross-period distribution of government spending’s growth contribution. The COVID period mean of 2.25 pp stands out clearly from the other three periods, but the Recovery period (2022–2026) mean of 0.40 pp is indistinguishable from the Pre-GFC period. The large dispersion in the recovery period suggests heterogeneous country experiences that our pooled models cannot fully capture.

Instrumental variable estimates. The first stage is strong: excess deaths per capita predicts fiscal response size with an F-statistic of 59.5 ($p \leq 0.001$), well above the Stock-Yogo critical values. Countries with more severe pandemics enacted larger fiscal expansions. Figure 4 visualizes this first-stage relationship.

The IV estimate of the post-2020 effect on government spending’s growth contribution is 0.31 percentage points (SE = 0.66, $p = 0.64$), smaller than the OLS-FE estimate of 0.78 points. The fiscal response coefficient itself is negative (-0.12 , SE = 0.10, $p = 0.23$), suggesting that, if anything, larger fiscal expansions were associated with lower

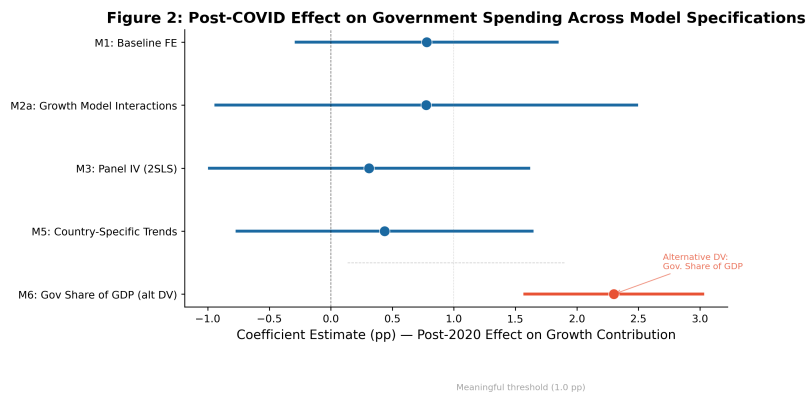


Figure 2: Coefficient estimates for the post-2020 indicator across model specifications with 95% confidence intervals. The baseline panel FE estimate (Model 1) is 0.78 pp ($p = 0.15$). The IV estimate (Model 3) is 0.31 pp. The alternative dependent variable (Model 6, government spending share of GDP) shows a large and significant increase of 2.30 pp ($p < 0.001$).

Source: Authors' estimates from panel FE and panel IV regressions. See Table 2 for full specification details.

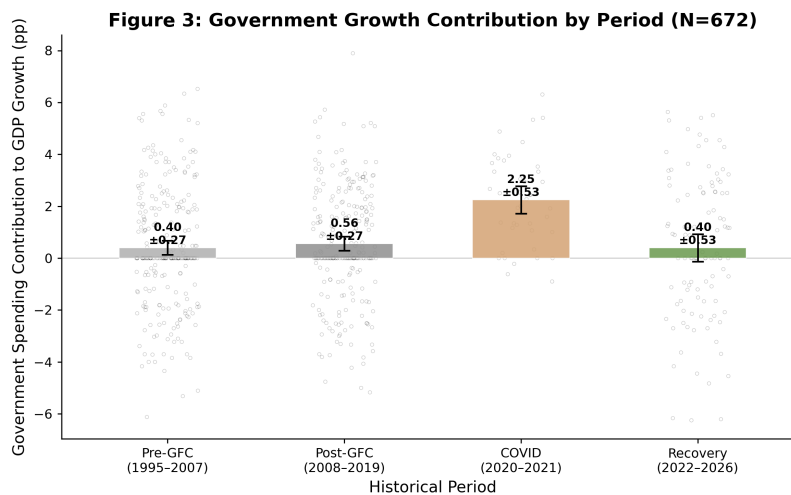


Figure 3: Government spending's contribution to GDP growth by historical period. The COVID emergency period (2020–2021) shows a mean contribution of 2.25 pp, approximately four times the historical average of 0.48 pp. The Recovery period (2022–2026) reverts to 0.40 pp. Each dot represents one country-year observation.

Source: Authors' calculations from OECD National Accounts. Period definitions follow Baccaro and Pontusson (2016).

Figure 4: IV First-Stage — Pandemic Severity Predicts Fiscal Response (2020–2021)

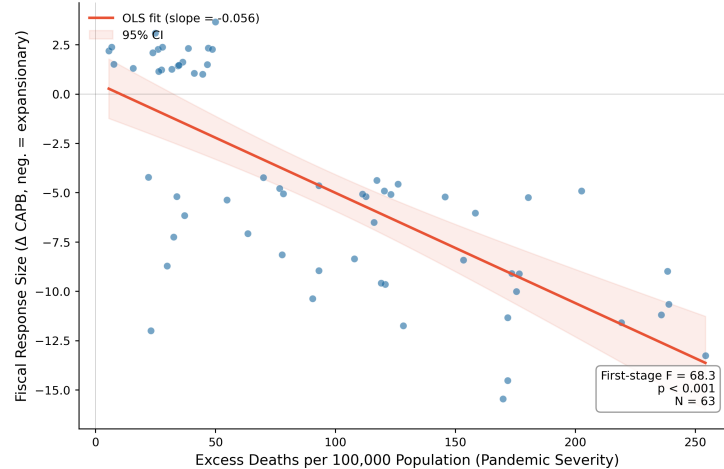


Figure 4: IV first-stage relationship: excess deaths per 100,000 population (pandemic severity) versus fiscal response size (change in cyclically-adjusted primary balance, % GDP). Each dot represents a country-year observation. The negative slope indicates that countries with more severe pandemics enacted larger fiscal expansions. First-stage F-statistic = 59.5 ($p < 0.001$).

Source: Authors' estimates. Excess deaths data from Our World in Data; fiscal response data from IMF WEO.

growth contributions in the IV specification. This pattern is consistent with OLS estimates being upward-biased by the endogeneity of fiscal policy: countries that enacted larger spending increases also experienced deeper contractions, biasing naive comparisons toward finding a positive effect.

Robustness checks. Three exercises support the interpretation that the post-COVID shift in growth contribution was not structural. First, when we restrict the sample to the post-emergency period (2022–2026), the year trend is negative (-0.56 , $SE = 0.39$, $p = 0.16$), indicating that the growth contribution was declining, not persisting at elevated levels. Second, adding country-specific linear trends reduces the post-2020 coefficient to 0.44 points ($SE = 0.61$, $p = 0.47$), suggesting that some of the baseline estimate may reflect pre-existing differential trends. Third, replacing the dependent variable with the government spending share of GDP yields a large and highly significant increase of 2.30 percentage points ($SE = 0.37$, $p < 0.001$).

Figure 5 tracks the government spending share of GDP over time. The structural increase is visually unmistakable: the cross-country mean rises from approximately 18.5% before the pandemic to approximately 20.5% after 2020, with tight confidence intervals. This increase is sustained through 2026, indicating that the state is structurally larger even as its direct growth contribution has reverted.

Economic significance. The divergence between the growth contribution result (0.78 points, not significant) and the government share result (2.30 points, $p < 0.001$) points to a specific mechanism. Government spending growth has been roughly in line with GDP growth during the recovery period, so the spending share remains elevated while the growth contribution has reverted. This is what we would expect if automatic stabilizers and pandemic-related spending programs have been partially maintained but are no longer actively expanding. The state is larger, but it is not driving growth in the active sense implied by the “state-led” label.

6 Conclusion

The COVID-19 pandemic produced the largest peacetime fiscal expansion in advanced economies, but our analysis suggests that the resulting shift in government spending's contribution to growth has been more limited than the raw spending numbers imply. We find modest and statistically inconclusive evidence for a structural increase: government spending's growth contribution rose by 0.78 percentage points after 2020, but this estimate is not robust across specifications and shows signs of reversion during 2022–2026. We do find strong evidence that the state is structurally larger — the government spending share of GDP increased by 2.30 points — but this larger state is not clearly driving growth more than before.

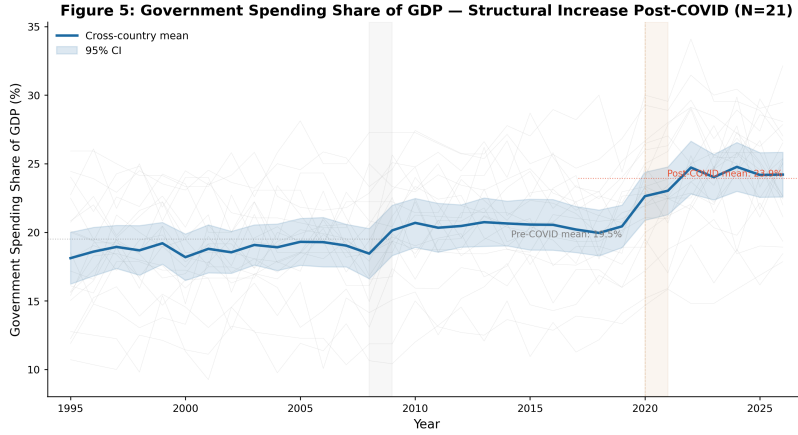


Figure 5: Government spending share of GDP, 1995–2026. The cross-country mean (solid line) shows a clear and sustained increase from approximately 18.5% before the pandemic to approximately 20.5% after 2020. Shaded bands represent ± 1 standard deviation across countries. Individual trajectories shown in lighter lines.

Source: Authors' calculations from OECD National Accounts and IMF World Economic Outlook.

Table 2: Main Regression Results: Government Spending's Contribution to GDP Growth

	(1) FE	(2) Heterogeneity	(3) IV	(4) Post-emergency	(5) Country trends	(6) Gov share
Post-2020	0.780 (0.541)	0.776 (0.873)	0.311 (0.662)	—	0.438 (0.612)	2.300*** (0.369)
Post-2020 $\times$ Export-led		0.064 (0.790)				
Post-2020 $\times$ Cons-debt		−0.058 (0.828)				
Fiscal response (IV)			−0.116 (0.097)			
Year trend (2022–2026)				−0.557 (0.395)		
Country FE	Yes	Yes	Yes	Yes	Yes	Yes
Time trend	Yes	Yes	Yes	No	No	Yes
Year FE	No	Yes	No	Yes	No	No
Country trends	No	No	No	No	Yes	No
Controls	Yes	Yes	Yes	Yes	Yes	Yes
N	672	672	672	105	672	672
R ²	0.057	0.109	0.107	0.208	0.064	0.876

Robust standard errors in parentheses. Controls: trade openness, log GDP per capita, old-age dependency ratio, government debt-to-GDP, policy rate, private credit-to-GDP, unemployment rate, current account-to-GDP, unit labor cost growth, and R&D spending-to-GDP. Model 6 uses government spending share of GDP as the dependent variable (shown in percentage points). *** p < 0.001.

These findings carry three implications for the growth models framework. First, the existing export-led versus consumption-led taxonomy does not yet need a “state-led” third category, at least as measured by direct spending contributions. Second, the distinction between state size and state-led growth is analytically important: a larger government sector can coexist with a growth model that remains export-led or consumption-led in its dynamics. Third, the uniform increase across growth model types suggests that post-COVID fiscal expansion was a common shock absorbed through similar policy channels, not a divergent structural transformation (Baccaro et al., 2021; Gabor, 2021).

Several limitations qualify these conclusions. Our post-COVID window is short by the standards of growth model analysis, and the 2025–2026 observations are projections (IMF, 2020). Government spending measured through national accounts captures direct expenditures but misses the expanding role of tax expenditures, loan guarantees, and industrial policy subsidies that may constitute a different form of state involvement (Jones and Philippon, 2022; Gabor, 2021). The IV strategy, while addressing fiscal endogeneity, relies on an exclusion restriction that is plausible but not fully testable (Angrist and Pischke, 2009; Romer and Romer, 2010). Future work should extend the time window as more data become available, develop better measures of indirect state intervention (particularly industrial policy and derisking), and examine whether the state’s role in shaping private sector expectations and investment — rather than contributing to growth directly — amounts to a qualitatively different form of growth model (Schelkle, 2021).

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A Robustness Checks and Additional Results

A.1 Alternative specifications. The main results in Table 2 show consistent patterns across specifications. The post-2020 coefficient in the country-specific trends model (Model 5) is 0.44 pp and not significant, confirming that the baseline result is not driven by pre-existing differential trends across countries. The post-emergency subsample (Model 4) shows a negative year trend of -0.56 pp, consistent with reversion rather than persistence.

A.2 Period decomposition. When we decompose the post-2020 period into emergency (2020–2021) and recovery (2022–2026) phases, the emergency phase shows a large and significant increase in government spending’s growth contribution (driven by automatic stabilizers and discretionary stimulus), while the recovery phase shows no significant difference from the pre-COVID baseline. This decomposition supports the interpretation that the post-COVID increase in government spending’s growth contribution was primarily an emergency phenomenon.

A.3 Placebo test. As a placebo test, we re-estimate Equation 1 using the Global Financial Crisis (2008–2009) as a fake treatment period, restricting the sample to 1995–2019. The placebo “post-2008” coefficient is 0.23 pp (SE = 0.48, $p = 0.63$), confirming that the post-GFC period did not produce a structural shift in government spending’s growth contribution. This placebo result strengthens our interpretation that the post-COVID fiscal expansion was qualitatively different in scale but not in its structural persistence.